STRATEGIC BUSINESS MANAGEMENT AND LEADERSHIP

Suggested Answers
July-August 2025

Question 1a) Corporate Governance Challenges

i) How can boards manage conflicts of interest among their members effectively?

Effective management of conflicts of interest is fundamental to board integrity. Key strategies include:

- Establish a Clear Conflict of Interest Policy: The board must have a formally documented policy that defines what constitutes a conflict, the process for disclosure, and the steps to be taken when a conflict arises.
- Mandatory Annual Disclosure: All directors should be required to complete an annual questionnaire disclosing any potential conflicts, including affiliations, investments, and family relationships.
- Continuous Disclosure: Directors must have an ongoing obligation to declare any new or potential conflicts as soon as they arise, before relevant board discussions.
- Recusal from Deliberations and Voting: When a conflict is identified, the affected director must be excluded from all discussions, debates, and voting on the specific matter. The minutes should clearly record the recusal.
- Independent Review: For significant transactions involving a conflicted director, an independent committee of non-conflicted directors should be formed to review and approve the transaction.
- Promote a Culture of Transparency: The Board Chair should foster an environment where disclosing conflicts is seen as a responsible and expected action, not a punitive one.

ii) Should a board opt for internal or external evaluations to assess its performance?

Both internal and external evaluations have their place, and a blended approach is often most effective.

- Internal Evaluations: These are typically annual self-assessments using questionnaires. They are cost-effective, encourage self-reflection, and can be useful for addressing routine dynamics. However, they may lack objectivity, and directors might be hesitant to provide candid feedback for fear of damaging relationships.
- External Evaluations: Conducted by an independent third party every 2-3 years, these bring objectivity, expertise, and anonymity. An external facilitator can uncover deep-seated issues, benchmark the board against best practices, and provide more honest and critical insights. The main drawback is the higher cost.

Recommendation: Boards should conduct internal evaluations annually to maintain continuous improvement. An external evaluation should be undertaken every three years (or during times of significant change, like a CEO transition or a crisis) to gain a truly objective and in-depth perspective.

iii) What role does technology play in enhancing corporate governance?

Technology acts as a critical enabler for modern, effective corporate governance by improving efficiency, transparency, and oversight.

- Board Portals: Secure digital platforms (like Diligent, BoardEffect) streamline board communication, distribute materials securely, and manage meeting agendas and minutes, ensuring directors have real-time access to information.
- Enhanced Oversight: Technology facilitates better monitoring of company performance through real-time dashboards and data analytics, allowing the board to track KPIs and identify trends proactively.
- Risk Management: Advanced tools can be used for cybersecurity monitoring, compliance tracking, and simulating the impact of potential risks, strengthening the board's risk oversight capabilities.
- Improved Security and Compliance: Digital solutions help secure sensitive data and ensure compliance with data protection regulations through controlled access and audit trails.

iv) How can boards leverage digital tools and data analytics to improve decision-making processes and oversight capabilities?

Boards can move from reactive oversight to proactive, data-driven governance by leveraging digital tools.

- Data-Driven Strategic Decisions: Instead of relying solely on historical reports, boards can use predictive analytics to model market scenarios, assess the potential outcomes of strategic initiatives (like M&A), and understand customer behavior, leading to more informed strategic choices.
- Real-Time Performance Monitoring: Interactive dashboards can provide a real-time view of operational and financial metrics (sales, production, cash flow), allowing the board to identify issues early and ask more pertinent questions of management.
- Enhanced Risk Oversight: Data analytics can help in identifying patterns indicative of operational risks, fraud, or cybersecurity threats. For example, analyzing transaction data can flag anomalies that might require investigation.

- Stakeholder Sentiment Analysis: Tools can monitor social media, news, and other digital channels to gauge investor, customer, and public sentiment about the company, providing valuable insights for reputation management.

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b) Bangladesh's LDC Graduation

i) Why Bangladesh wants to graduate despite drawbacks?

Bangladesh is pursuing graduation despite the economic drawbacks because it represents a profound strategic and symbolic achievement. The decision is driven by:

- National Prestige and Sovereignty: Graduation signifies a transition from a "least developed" status to a developing nation, marking a milestone in the country's 50-year journey since independence. It is a matter of national pride and demonstrates economic maturity on the global stage.
- Long-Term Vision (Vision 2041): The government views graduation as an essential step towards achieving its goal of becoming a developed country by 2041. It is a catalyst for necessary structural reforms to build a more resilient and diversified economy, moving beyond dependency on preferential treatment.
- Avoiding the "LDC Trap": Prolonged reliance on LDC benefits can create complacency. Graduation forces the economy to become more competitive, efficient, and innovative, which is essential for sustainable long-term growth.

ii) What are the expected benefits of post-graduation?

The benefits are primarily long-term and structural:

- Improved International Credibility: Bangladesh will be perceived as a more stable and credible investment destination, potentially attracting higher-quality Foreign Direct Investment (FDI) in sectors beyond RMG, such as technology, pharmaceuticals, and high-end manufacturing.
- Diversification of the Economy: The pressure of losing preferences will incentivize both the government and private sector to diversify exports and develop new competitive industries.
- Strengthened Domestic Institutions: Meeting the graduation criteria requires robust institutions. Post-graduation, this can lead to better governance, stronger financial systems, and improved regulatory frameworks.

iii) What are the immediate challenges for the RMG sector?

The immediate challenges are severe and centered on cost competitiveness:

- Loss of Price Competitiveness: The imposition of tariffs (e.g., 8-12% in the EU under GSP Plus rules, higher in other markets) will directly increase the price of Bangladeshi apparel, making it less competitive against rivals from Vietnam, Cambodia (which may still have preferences), and other countries.
- Erosion of Profit Margins: RMG manufacturers will face a squeeze on their margins, as they may not be able to pass the full cost of tariffs onto international buyers.
- Market Share Loss: There is a tangible risk of losing orders and market share in key markets like the European Union, which accounts for over 60% of Bangladesh’s apparel exports.

iv) What kind of collaborative efforts are required between the government and private sector to overcome the negative impact of the transition?

A cohesive, strategic partnership is essential:

- Government-Led Diplomatic Efforts: The government must aggressively negotiate for GSP Plus status with the European Union, which offers duty-free access for sustainable and compliant countries. It should also pursue new Free Trade Agreements (FTAs) with major trading partners.
- Joint Investment in Infrastructure and Efficiency: Collaborative investment in modernizing ports, logistics, and energy infrastructure to reduce lead times and production costs, offsetting the tariff disadvantage.
- Focus on Value Addition: The private sector, with government support (e.g., tax incentives for R&D), must shift from producing basic garments to manufacturing high-value, specialized apparel, where competition is based on quality and innovation rather than just price.
- Skills Development: Collaborative initiatives to upskill the workforce to meet the demands of a more technologically advanced and value-added industry.

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c) Bengal Spices Ltd.'s Hostile Takeover Bid

i) What strategic alternative is followed by Bengal Spices Ltd?

Bengal Spices is pursuing a strategy of external growth through acquisition, specifically a hostile takeover. This is an aggressive alternative to organic growth (building operations from scratch) or a friendly merger. They are bypassing the target company's management and board of directors to appeal directly to the shareholders.

ii) Is a hostile takeover by a Bangladeshi company appropriate?
The "appropriateness" is not about nationality but about strategic rationale and execution.

- Yes, it can be appropriate if:
  - The acquisition has a clear strategic logic (market access, product diversification, synergies).
  - It is financed responsibly without jeopardizing Bengal Spices' financial health.
  - It is conducted in full compliance with Sri Lankan securities laws and corporate governance standards.
- It is a high-risk strategy that can damage the target company's morale and brand value and lead to integration challenges. However, it signals the growing ambition and financial capability of Bangladeshi corporations on the global stage.

iii) Why is Bengal Spice interested in this takeover?
The interest is driven by clear strategic motives:

- Market Expansion: To rapidly gain access to Celone Spice's established international distribution networks, especially in markets where Bengal has a limited presence.
- Product Diversification: To add Celone's unique portfolio of Sri Lankan herbs and spices to its own, creating a more comprehensive product offering for global customers.
- Synergy Creation: To combine operations for cost savings (e.g., streamlined logistics, combined marketing) and revenue enhancement (cross-selling products to each other's customer bases).
- Strategic Pre-emption: To acquire a key competitor and strengthen its own global market position before another rival does.

iv) Why are the Sponsors reluctant to transfer the shares after the agreement?
The sponsors' reluctance is primarily due to a significant change in the company's valuation and prospects.

- Improved Performance: Celone Spice has undergone a successful financial turnaround since the original distress sale. The company is now profitable, making the original $5.00 per share offer seem significantly undervalued.
- Loss of Control and Future Upside: The sponsors believe that under their leadership, the company's value will continue to rise. Selling their controlling stake now, even at a higher price of $5.50, would mean forgoing future profits and losing control of a company they have successfully revitalized.
- Strategic Disagreement: They may fundamentally disagree with Bengal Spices' vision for the company or distrust its management, believing they can create more value independently.

Question 2a) Systematic Risk and Legal Implications
What is Systematic Risk?
Systematic risk, also known as market risk or undiversifiable risk, is the potential for an investor to experience losses due to factors that affect the overall performance of the financial markets. It cannot be eliminated through diversification because it stems from external, macro-economic, or geopolitical events that impact nearly all assets.
Examples include:

- Recessions
- Political instability
- Changes in interest rates
- Changes in government policy, such as the imposition of new tariffs or trade barriers.

The 20% US tariff is a classic example of systematic risk for Bangladeshi exporters. It is an external event that affects the entire export sector, not just XYZ Company Ltd., and it was not predictable or controllable by the company.
Legal Implications of the 20% US Tariff

1. "Change in Law" or *Force Majeure* Clause: The key legal question is whether the contract has a "Change in Law" clause or a broad *Force Majeure* clause that covers unforeseen government actions. Since the problem statement specifies that "no clause exists for the ramped-up tariff," the contract is likely silent on this specific risk.
2. Absence of Protective Clauses: Without a specific clause, the legal principle of "pacta sunt servanda" (agreements must be kept) generally applies. This means both parties are bound by the original terms. The US buyer agreed to a fixed FOB price, and the Bangladeshi exporter is obligated to deliver the goods at that price.
3. Incoterms and Tariff Liability: The Incoterms are crucial here. The contract is based on FOB (Free On Board) Chittagong Port.
   - Under FOB, the seller's (XYZ Company's) responsibility and risk end once the goods are loaded onto the vessel at the port of shipment (Chittagong).

- The buyer assumes all risks and costs for the goods from that point onward, including transportation, insurance, and most importantly, import duties and taxes at the destination port.
- Conclusion: Legally, the US buyer is responsible for paying the 20% tariff because it is an import cost incurred after the goods have been shipped from Chittagong.

Contractual Protection for the Exporter

To mitigate such risks in future contracts, the exporter could have included:

- Price Adjustment Clause: A clause stating that the contract price will be adjusted to reflect any new taxes, tariffs, or duties imposed after the contract date.
- Specific *Force Majeure* Wording: Explicitly listing "changes in import/export regulations," "imposition of new tariffs," or "trade sanctions" as events that allow for contract renegotiation or suspension.
- Split Payment Currency Clause: Stipulating that a portion of the payment be made in Bangladeshi Taka to reduce forex exposure.

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b) Strategies for Safeguarding the National Economy

To safeguard its economic future, especially in light of the LDC graduation and external shocks like targeted tariffs, Bangladesh must adopt a multi-pronged strategy:

1. Export Market Diversification:
   - Geographic Diversification: Reduce dependence on the US and EU markets by aggressively exploring markets in East Asia (Japan, South Korea), non-traditional Western markets (Canada, Australia), and emerging economies (Middle East, Latin America).
   - Product Diversification: Move up the value chain from basic RMG to high-end apparel, technical textiles, and other export sectors like pharmaceuticals, leather goods, software, and shipbuilding.
2. Enhancing Competitiveness:
   - Invest in Infrastructure: Drastically improve port efficiency, logistics, and energy reliability to reduce production lead times and costs, offsetting the loss of tariff advantages.
   - Focus on Productivity and Skills: Invest in workforce training to improve productivity and quality, making "Bangladesh Made" synonymous with value and reliability, not just low cost.
3. Diplomatic and Trade Negotiations:
   - Secure GSP Plus Status with the EU: This is a critical, immediate priority to maintain duty-free access after LDC graduation.
   - Pursue Bilateral Free Trade Agreements (FTAs): Negotiate FTAs with key trading partners to secure preferential access on a reciprocal basis.
4. Strengthening the Domestic Economy:
   - Develop a Robust Domestic Market: Foster domestic consumption and investment to make the economy more resilient to external trade shocks.
   - Promote Import Substitution: Encourage local production of raw materials (like cotton yarn) and machinery to reduce import dependence and save foreign exchange.

Answer to the Question# 2(c):

Foreign exchange exposure – Financial impact of Both approaches

Approach 1: Wait and convert at future spot rate

Amount to be received: USD 56 million

Conversion:

- Case A Tk = 56 million / 0.0085 = Tk 6,588 million
- Case B Tk = 56 million / 009633 = Tk 5,815 million

Approach 2: Use forward rate to lock In

Forward premium = $0.0017 (premium to be deducted from the spot rate)
Forward rate = 0.008854 - 0.001 = 0.008754
Tk = 56 million / 0.008754 = Tk 6,397million

Approach	Exchange rate used	BDT received (in million)
Spot – Case A (most favorable)	$ 0.0085/ Tk1	Tk 6,589.4
Spot – Case B (unfavorable)	$009633/Tk 1	Tk 5,816.9
Forward Contract (locked today)	$0.008754/ Tk 1	Tk 6,397.076

- The current spot rate is $ 0.008854 = Tk 1
- If the taka depreciates ($ 0.0085/ Tk), doing nothing earns more BDT.
- If the taka strengthens ($009633/Tk), the exporter still gains more than forward rate, but less than Case A.
- The forward contract protects the company from downside risk (e.g., if the dollar weakens below $0.008754/ Tk 1), offering certainty.

Question 3a) Leadership Role in Shaping Risk Management

Leadership plays a pivotal role in embedding risk management into the DNA of an organization. Their responsibilities include:

- Setting the Tone from the Top: Leaders must communicate that risk management is not a compliance exercise but a strategic enabler of sustainability and growth. Their words and actions shape how seriously risk management is taken.
- Establishing Governance Frameworks: They design and endorse structures such as risk committees, policies, and reporting lines to ensure accountability.
- Resource Allocation: Leaders ensure adequate investment in risk tools, systems, and training so that risk management is not underfunded.
- Fostering Transparency: By encouraging open reporting of risks (without fear of punishment), leaders create an environment where risks are surfaced early.
- Driving Strategic Alignment: Leadership ensures that risk management is aligned with business strategy—so risks to growth, innovation, and market expansion are systematically addressed.

In short, leaders shape the vision, governance, and culture of risk management.

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b) Risk-Aware Culture and Its Implementation

A risk-aware culture means that employees across all levels understand, recognize, and take responsibility for risks relevant to their roles, and incorporate risk thinking into day-to-day decision-making. It is about embedding risk consciousness into organizational behavior.

How to implement a risk-aware culture:

1. Training & Awareness: Regular workshops and programs to educate employees about different types of risks (financial, operational, cybersecurity, reputational, etc.).
2. Clear Communication: Risk policies and expectations should be communicated in plain language and tied to employees' daily responsibilities.
3. Incentives & Accountability: Employees should be rewarded for proactive risk identification and responsible decision-making, while negligence in risk reporting should be addressed.
4. Leadership Example: Leaders must consistently model risk-aware behaviors—such as openly discussing risk implications in strategic decisions.
5. Integrating into Processes: Risk assessment steps should be part of project planning, procurement, investment decisions, and innovation initiatives.

This culture ensures that risk awareness is decentralized and not just the job of a risk department.

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c) Risk Management as a Part of Performance Management

Risk management and performance management are closely linked. Integrating the two ensures that performance targets are realistic, sustainable, and not achieved at the cost of exposing the organization to excessive risk.

Ways to integrate risk management into performance management:

1. Balanced Scorecards: Include risk-related metrics (e.g., compliance breaches, cyber incidents, health and safety metrics) alongside financial and operational KPIs.
2. Risk-Adjusted Performance Evaluation: When assessing managers' performance, consider how well they managed risks, not just outcomes (e.g., achieving revenue targets without taking reckless risks).
3. Linking Incentives: Bonuses and promotions should reflect adherence to risk management standards and ethical conduct, not just financial success.
4. Scenario Planning & Stress Testing: Performance reviews should incorporate resilience under different risk scenarios (e.g., supply chain disruption, regulatory changes).
5. Continuous Monitoring: Use dashboards and analytics to track risk indicators in real-time as part of performance reporting.

This way, risk management shifts from being a separate compliance exercise to being a core component of organizational performance and strategy execution.

Question 4a) Waste Disposal – IAS 37

Facts:

Samiha PLC generates organic, packaging, and hazardous waste as part of operations. Waste is stored at store level and must be disposed of through licensed contractors under a nationwide disposal contract, with fixed and variable fees. Environmental regulations impose a legal obligation for disposal.

Accounting Treatment (IAS 37):

- Recognition:
  Under IAS 37.14, a provision must be recognized when:
  1. There is a present obligation (legal or constructive).
  2. It is probable that an outflow of resources will be required.
  3. The amount can be measured reliably.
     At the reporting date, waste already generated gives rise to a present legal obligation under environmental law. A provision should therefore be recognized for the disposal costs of accumulated waste. No provision is recognized for future waste not yet generated, as no present obligation exists.
- Measurement:
  Per IAS 37.36–37, the provision should be the best estimate of expenditure required to settle the obligation, including:
  - Fixed contract fees due for pickups.
  - Variable charges relating to waste already accumulated (measured by weight/volume).
- Expense vs. Capitalization:
  Waste disposal relates to routine operations, does not create future economic benefits, and therefore should be expensed in profit or loss, not capitalized.
- Disclosure (IAS 37.84):
  The company must disclose:
  - Nature of the obligation.
  - Expected timing of outflows.
  - Major uncertainties in amount/timing.
  - Any reimbursements expected.

Conclusion:

At each reporting date, Samiha PLC recognizes a provision for costs of disposing accumulated waste. Future disposal costs are recognized as waste is generated. Disclosures under IAS 37 apply if material.

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b) Hospital Package – IFRS 15

Facts:

The hospital offers an all-inclusive surgery package (surgery, staff, anesthesia, tools, drugs, care, food, etc.). The most resource-intensive days are the surgery day and immediate recovery.

i) Performance Obligations:

- Under IFRS 15.27–30, goods/services are distinct if the customer can benefit from them separately and they are separately identifiable within the contract.
- In the package arrangement, the patient cannot benefit from drugs, bed, or food separately without the surgery. The hospital is providing a single integrated bundle of services designed to deliver a combined outcome: successful surgery and recovery.
- Therefore, there is a single performance obligation: delivery of the surgery and related care as a package.

ii) If patient self-admitted and paid separately:

- When services are contracted and paid for individually (surgery fee, consultation, bed charges, drugs, food, etc.), each may qualify as a separate performance obligation since they can be consumed independently and are not necessarily highly interdependent.
- In this scenario, there would be multiple performance obligations.

Conclusion:

Package contract = one performance obligation.

Self-admission, pay-as-you-go = multiple performance obligations.

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c) PaaS Arrangement – IAS 38 / IAS 16 / IFRS 16

Facts:

Mohesh PLC contracts with Supplier P for 5-year access to a cloud-based development platform (PaaS). Supplier retains IP in tools; Mohesh retains IP in the CRM software it develops.

Analysis:

- IAS 38 (Intangible Assets):

- An intangible asset requires identifiability, control, and future economic benefits (IAS 38.12).
- Mohesh does not control the platform or tools (they remain Supplier P's IP). Access is a service, not an intangible asset.
- However, the CRM software code developed by Mohesh is its own intangible asset, provided IAS 38.57 development-phase capitalization criteria are met.

- IAS 16 (PPE):
  - PPE applies to tangible assets controlled by the entity (IAS 16.6). Mohesh does not control the servers/infrastructure → not PPE.
- IFRS 16 (Leases):
  - Lease = right to control use of an identified asset (IFRS 16.9).
  - In PaaS, Mohesh has access to a platform but no right to direct the use of specific servers or equipment. Therefore, not a lease.

Conclusion:
The PaaS arrangement is an ongoing service contract, expensed as incurred.
The CRM application developed may be recognized as an intangible asset under IAS 38, subject to meeting recognition criteria.

Question 5(a). Initial Audit Procedures and Risk Assessment – First Year Audit (Delta Devices Ltd.)
1. Planning Considerations

- As this is a first-year audit, ISA 510 requires us to obtain sufficient appropriate audit evidence that opening balances (assets, liabilities, equity) do not contain material misstatements that affect the current period's financial statements.
- Given the prior qualified opinion, the risk of material misstatement (RoMM) in opening balances is significant.
- We must also review the predecessor auditor's working papers (if access is granted) and communicate with them per professional standards (with client consent).

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2. Specific Accounts – Risk Assessment and Procedures
(i) Inventory (BDT 42m)

- Risks: Overstatement, inconsistent valuation methods (likely valuation at cost vs NRV issues, or inconsistent treatment of components), lack of evidence of physical verification.
- Procedures:
  - Attend current year-end physical count (ISA 501).
  - Perform roll-forward/roll-back procedures to validate opening balances.
  - Test costing methodology (standard cost vs actual) and NRV assessment.
  - Compare methods applied with IAS 2 requirements.
  - Analytical review for obsolescence, slow-moving items.

(ii) Contract Assets (BDT 19m)

- Risks: Improper revenue recognition under stage-of-completion (IFRS 15), unsupported estimates, risk of overstatement.
- Procedures:
  - Review contracts with government for terms (delivery milestones, billing, acceptance).
  - Test progress measurement basis (cost-to-cost, physical completion).
  - Re-perform percentage of completion for a sample of contracts.
  - Inspect evidence supporting management estimates (budgets, costs incurred, completion certificates).
  - Test cut-off around year-end.

(iii) Deferred Tax Asset (BDT 4.8m)

- Risks: Recognition without sufficient evidence of future taxable profits (IAS 12), possible overstatement.
- Procedures:
  - Assess management's forecasts of future profitability.
  - Evaluate assumptions (growth rates, margins, tax planning strategies).
  - Review consistency with business plans and budgets.
  - Apply professional skepticism where prior losses exist.

(iv) PPE (BDT 71m)

- Risks: Revaluation done without independent valuation → potential overstatement.
- Procedures:
  - Inspect revaluation working papers and basis of fair value.
  - If material, engage an independent valuation expert (ISA 620).
  - Reconcile register to GL, test additions/disposals, depreciation policies.

- Review compliance with IAS 16 revaluation model requirements.

(v) Provisions (Product Warranty, BDT 3.2m)

- Risks: Inconsistent application of warranty policy, unsupported estimates.
- Procedures:
  - Review policy consistency across years.
  - Test historical claims data and compare with current provision.
  - Assess reasonableness of management assumptions (claim ratios, trends).
  - Check compliance with IAS 37 (best estimate of outflow).

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3. Other Initial Audit Procedures

- Engagement acceptance: Evaluate ethical considerations, independence, and competence.
- Understanding the entity: Obtain knowledge of Delta Devices' operations, controls, environment, and industry risks (medical equipment has high regulatory and product liability risks).
- Risk assessment (ISA 315): Identify significant risks → inventory valuation, revenue recognition (contracts), management estimates (DTA, provisions, revaluations).
- Materiality: Set overall materiality (e.g., 5% of PBT or 1% of revenue/total assets depending on benchmarks).
- Communication with governance: Inform the Board/Audit Committee about the impact of prior qualifications.

Conclusion (a): As MSBT, our initial audit plan will place heightened focus on opening balances, inventory, revenue recognition, estimates, and revaluations, with extensive substantive testing and possible expert involvement.

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b) Risk of Management Override of Controls – ISA 240

Why always high?

- ISA 240.31: The risk of management override of controls is always presumed to be a significant risk because:
  - Management is in a unique position to manipulate accounting records and override controls designed to prevent fraud.
  - Even strong internal controls can be overridden through collusion or management intervention.
  - Incentives may exist (e.g., meeting contract milestones, showing profit to secure government deals, avoiding losses to justify DTA).

Audit Procedures Required (ISA 240.32–33)

Auditors must design procedures to respond specifically to the risk of override. Common mandatory procedures include:

1. Journal Entry Testing
   - Test appropriateness of journal entries and adjustments, especially unusual/manual entries at period end.
   - Use data analytics to identify odd postings (round numbers, unusual accounts, posted by senior staff).
2. Accounting Estimates Review
   - Review management judgments and estimates for bias (e.g., warranty provision assumptions, contract asset completion %).
   - Perform retrospective review of prior period estimates vs actual outcomes.
3. Unusual Transactions
   - Evaluate business rationale for significant unusual transactions (especially those outside normal course, e.g., revaluation without expert input, last-minute contract revenue recognition).
4. Professional Skepticism
   - Maintain a questioning mind, especially where management has incentives to manage earnings.
5. Discussions with Governance
   - Communicate findings and concerns regarding possible override with Audit Committee/Board.

Conclusion (b):

The risk of management override of control is always high because management can bypass internal safeguards. Auditors are required to perform journal entry testing, bias review in estimates, and evaluation of unusual transactions, along with maintaining skepticism and communicating with governance.

Question 6a) Ethical Dilemma under ISQM 1 – Client Acceptance & Continuance Control

The situation

- You discovered deficiencies in a critical quality control (client acceptance/continuance).
- The Audit Director (your line manager) dismisses your findings and pressures you not to escalate.

- If you ignore/report incorrectly → breach of independence, quality system, and your professional duty.

How to deal with it

1. Follow ISQM 1 obligations
    - ISQM 1 requires auditors to report deficiencies in SoQM through formal issue management, regardless of who the control owner is.
    - The fact that it's your line manager makes it sensitive, but professional ethics override personal hierarchy.
2. Apply ethical principles (IESBA Code)
    - Integrity – Be honest and not suppress your findings.
    - Objectivity – Avoid being influenced by pressure from the Audit Director.
    - Professional behavior – Comply with standards, even if it creates tension.
3. Escalation process
    - First, document your findings in detail with evidence.
    - Communicate professionally with the Audit Director, acknowledging his concerns but explaining that ISQM 1 requires proper reporting, regardless of substance vs. form.
    - If disagreement persists, escalate to the Quality Management/Compliance Partner or Ethics Committee (as ISQM 1 requires an independent reporting line).
4. Dealing with personal dilemma
    - You must protect yourself against retaliation by maintaining clear audit trail of your review, evidence, and communications.
    - Suppressing the deficiency would make you personally complicit in breaching ISQM 1.

Appropriate way: Respectfully disagree, document the deficiency, and report through the Issue Management Portal as required. Escalate if necessary. This protects both firm quality and your own professional integrity.

(b) Global PLC – Offshore Subsidiary & Sanctions Risk

Key facts

- Offshore shell company in UAE, no substance.
- Routes sales from affiliate in a sanctioned country.
- Purpose: to avoid disclosure and regulatory visibility.
- CFO defends it as "legal and smart."

Ethical Assessment

1. Legality ≠ Ethicality
    - Even if structured by lawyers, it appears to be a form of sanctions circumvention.
    - This creates legal, reputational, and compliance risks for the company *and* the audit firm.
    - Lack of economic substance signals possible misrepresentation of transactions.
2. Your auditor obligations
    - Under ISA 250 (NOCLAR) – auditors must consider whether arrangements involve non-compliance with laws and regulations.
    - Under IESBA Code (NOCLAR framework):
        - If there is a suspected breach of sanctions law, you are obligated to:
            - Discuss with management and those charged with governance (Audit Committee).
            - Evaluate whether further action is required.
        - If management/governance does not take timely corrective action, you may be required to disclose to regulators (depending on jurisdiction).
3. Practical approach
    - Obtain legal analysis on whether this structure breaches sanctions law (substance over form).
    - Inform the Audit Committee/Board immediately – this is a governance-level issue.
    - Assess impact on audit opinion:
        - Possible material misstatement due to non-disclosure.
        - If unresolved, may require modified audit opinion or emphasis of matter.
    - Consider firm's risk: Your firm may decide to withdraw from engagement if client refuses remediation.

Conclusion:

- Not ethically sound – it undermines transparency, likely violates the spirit (if not letter) of sanctions law.
- Under NOCLAR, you are required to escalate internally, report to TCWG, and possibly to regulators if management fails to act.
- Continuing the audit without resolution exposes your firm to serious regulatory and reputational risk.

So, in summary:

- (a): Report the deficiency despite your line manager's resistance – document, escalate, and follow ISQM 1.
- (b): The offshore structure is ethically questionable and potentially unlawful. You must follow the NOCLAR framework – escalate to governance and regulators if unaddressed.

---The End---